

THE GREAT WAR

Alfani-Colli, ch. 9.3

Economic history - 30067

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PROGRAMME OVERVIEW

Part I	Rise of the West	1. Origins of economic development 2. Pre-industrial economies 3. The Industrial Revolution 4. Industrial economies 5. The first age of globalisation
Part II	The modern world	6. <u>Economic development after World War I</u> 7. Depression and deglobalization 8. Economic development after World War II 9. The new age of globalisation

THE 'LONG' NINETEENTH CENTURY

- 1789 to 1913: century of modernization and globalization
- Modernization
 - Political Revolution: Revolutions in Europe and Americas
 - Industrial Revolution: mechanisation + steam power
 - Transport Revolution: steamships + railways
 - Communications Revolution: telegraph + telephone
- Globalization
 - Global trade between core and periphery
 - Global capital flows and mass migration
 - International gold standard
 - Liberal international order: *Pax Britannica*

THE 'SHORT' TWENTIETH CENTURY

- A century of conflict
 - 1914-1945: The 'Second Thirty-Years War' (Churchill)
 - 1917-1949: 'European Civil War' (Nolte)
 - 1947-1989: The Cold War
- A century of calamities
 - Global wars
 - Global revolutions
 - Global economic crises
 - and a global pandemic
- A century of disintegration
 - De-globalization
 - De-colonization

THE GREAT WAR, 1914-1918

- Global armed conflict
 - Mostly fought on European soil, but extended to colonies
 - Larger than any previous war in size, scope, and destruction
- End of the long 19th century
 - Watershed in human history
 - Global repercussions: economic, social, political, even cultural
- Economic consequences
 - Human casualties
 - Disruption of world trade
 - International debt crisis
 - Peace settlements: redrawn borders, war reparations

GLOBALISATION BACKLASH

- Technology
 - Transport and communication continued to improve (motorised transport, telephone, radio communication)
- Political forces
 - Tension and lack of cooperation in international relations outweighed the positive impact of technological progress
 - Tariffs and nontariff barriers + limits on immigration
 - Collapse of the international gold standard in the 1930s
- 19th century globalisation in reverse
 - Decline of Europe in global trade
 - U.S. became the dominant economy
 - End of the age of mass migration and large capital flows

GLOBALISATION BACKLASH

Annual average growth of merchandise exports, at constant prices (%)

	1870–1913	1913–1929	1929–1950	1950–1973	1973–1998
Western Europe ^a	3.23	0.21	−0.32	8.03	4.55
United States	4.86	3.33	1.68	6.27	5.98
Russia/Soviet Union	n.a.	−4.66	3.08	9.98	2.95
Latin America ^b	3.40	3.89	1.46	4.10	5.70
China	2.59	2.90	0.06	2.74	11.81
India	2.37	−1.02	−1.90	2.46	5.94
Japan	8.47	7.00	−0.97	15.54	5.30
World	3.35	0.89		7.88	5.07

Source: Feinstein et al (2008), *The World Economy between the World Wars*, p. 12.

THE DISINTEGRATION OF THE INTERNATIONAL ECONOMY

Major socio-economic changes normally occur over long periods of time:

- **Changes in demography, availability of resources, and technology** can spread over a period of years, decades or even centuries.
- **Political changes** can be abrupt and can lead to sudden and unexpected economic changes.
- World War I (= the Great War) destroyed the intricate (but fragile) international economic and trade system that had gradually developed during the 19th century.



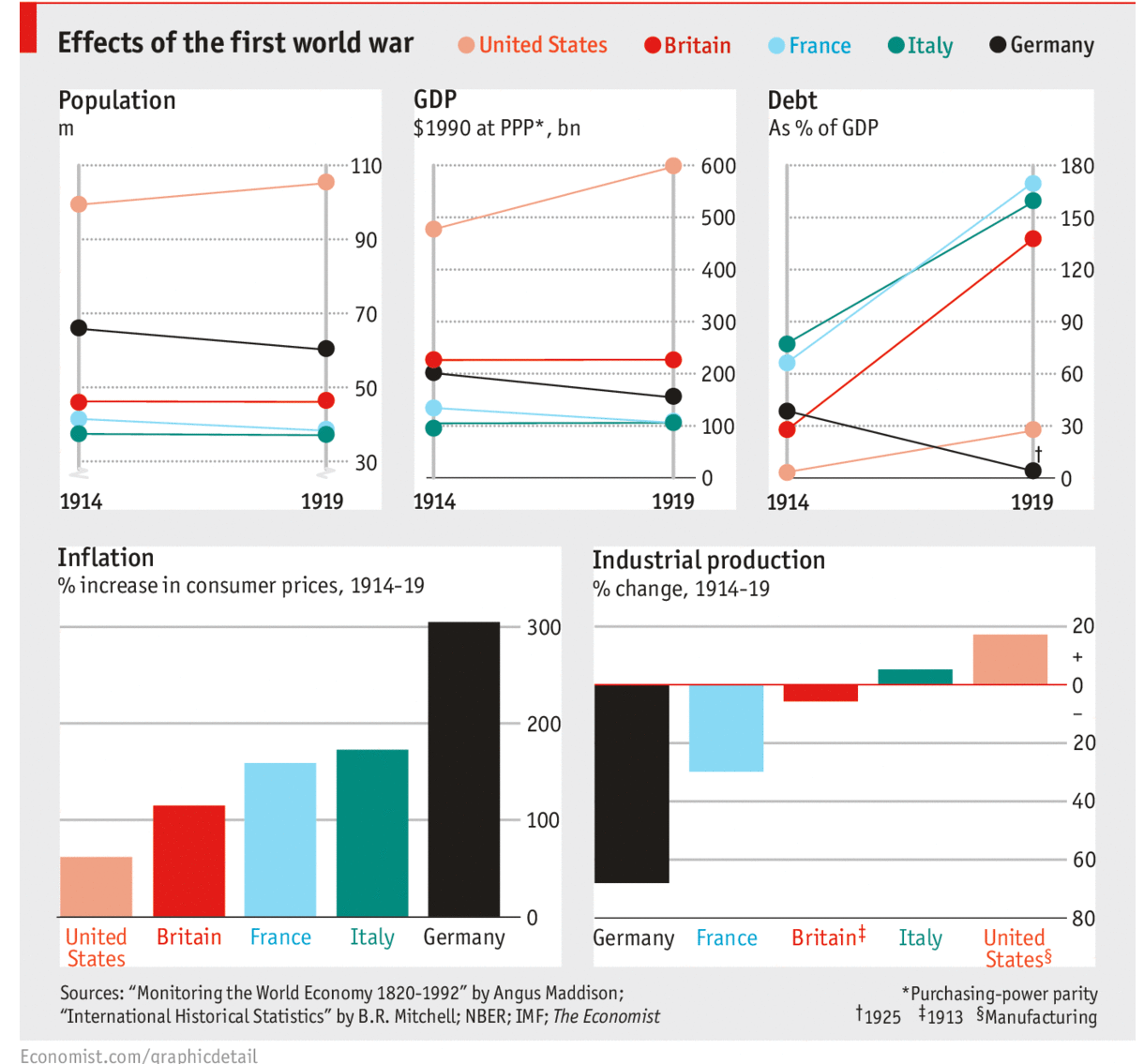
It brought an end to the 'first globalisation'

MODERN ECONOMIC GROWTH

- 1870-1913
 - Fast growth driven by globalization and technological progress
 - Divergence between the West and the East
- **1914-1950**
 - **World wars and the Great Depression**
 - **Slow growth in Europe and Asia**
 - **New global powers: United States and Soviet Union**
- 1950-1973
 - The 'golden age' of economic growth
- Post-1973
 - Slowdown in the West
 - Rise of the East

IN THIS CLASS

- Immigration policies in the US
- The First World War: is it still a relevant debate?
- Main characteristics of the Great War
- Changing the Global economy



BARRIERS TO MIGRATION

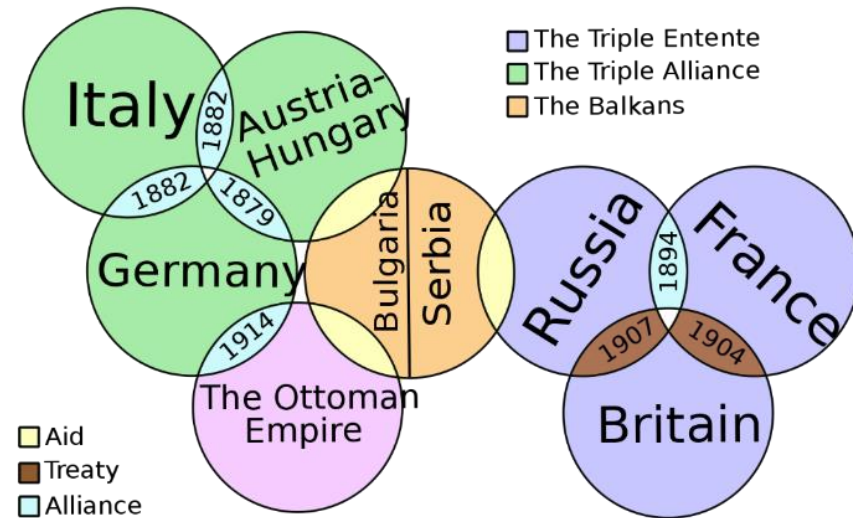
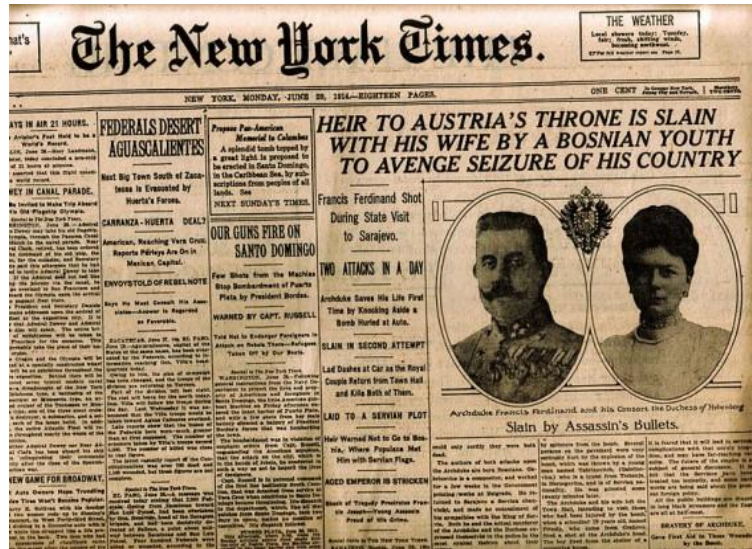
- WWI put an end to a century of mass migration
- Restrictive immigration policies
 - Chinese excluded in 1882, Japanese in 1908; all Asians in 1917
 - Literacy tests introduced in 1917 → selective immigration
 - U.S. quotas against less favoured countries in the 1920s
 - Restrictions on immigration in Latin America
 - Restrictions on emigration in other countries (e.g. USSR)
- Remaining migration largely *forced*
 - Groups fleeing wars or authoritarian regimes (e.g. Spanish under Franco or Jews from Germany)
 - Ethnic minorities forced to resettle following border changes

WWI: A STILL RELEVANT DEBATE?

- It was the first **global war**, fought globally by soldiers of all nationalities
- It was the first **modern** war from an economic and **technological** point of view
- It marked the beginning of **state planning** in the economic field
- It brought about major **geopolitical changes**:
 - end of the Old Empires (Austria-Hungary and Ottoman Empire)
 - definitive affirmation of new non-European powers: US and Japan
- It determined the beginning of the **communist experiment**
- It led to the emergence of strong **nationalism**
- It had a **strong cultural impact**

WWI: THE ORIGINS OF THE CONFLICT

- From a purely diplomatic perspective, the Great War broke out because of the Sarajevo bombing of 28 June 1914:
 - a Serbian student shot Franz Ferdinand, the Crown Prince of the Habsburg Empire.



- Austria-Hungary went to war against Serbia, a traditional ally of Russia. In short, the whole of continental Europe, bound by pacts and alliances, was involved in the conflict.

WWI: THE ORIGINS OF THE CONFLICT

- It is virtually impossible to identify a single factor as determining the outbreak of the First World War.
- The war broke out as a result of a process that had started in the mid-19th century for the **conquest and partition of a significant part of the planet** by European powers.
- Among the possible causes of the conflict, historian Fritz Fischer includes Germany's desire to conquer more space in Eastern Europe:
 - The Balkans became an area of increasing conflict where the desire for hegemony among European powers clashed with the rising nationalisms of new nation-states (Serbia, Romania, Bulgaria).

WWI: THE ORIGINS OF THE CONFLICT

Among the macro categories of factors we can list:

- The breakdown of the old alliance system
- New nationalistic demands
- New geopolitical demands
- Economic competition
- Culture and ideology
- The role of science and technology

What were the economic advantages of the Allies?

WWI: CONSEQUENCES OF THE CONFLICT

- How did these factors were used?
 - Economic (industrial) mobilisation
 - Strong state intervention
 - Massive economic losses
 - The beginning of an age of insecurity

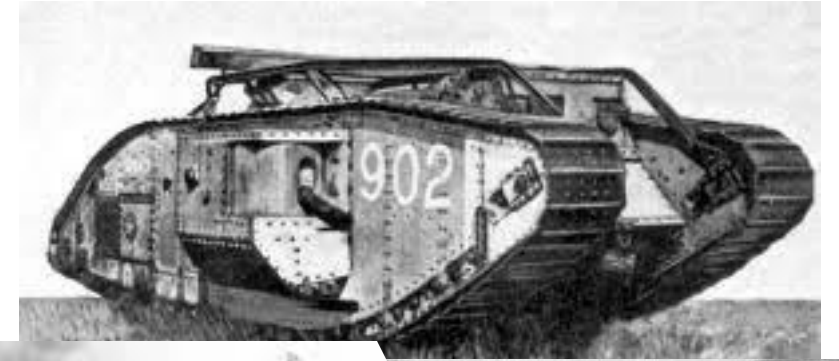
Table 1.3. *Allies versus Central Powers: resource and development ratios*

	Population	Territory	Territory per head	Gross domestic product	GDP per head
November 1914					
Total	5.2	11.5	2.2	2.9	0.6
Great powers only	2.2	19.4	8.8	1.8	0.8
November 1916					
Total	5.5	12.1	2.2	3.2	0.6
Great powers only	2.2	19.4	8.8	1.8	0.8
November 1918					
Total	8.1	13.5	1.7	4.6	0.6
Great powers only	1.6	7.5	4.8	2.5	1.6

Sources: Calculated from tables 1.1 and 1.2. Figures show ratios of Allies (table 1.1) to Central Powers (table 1.2) in populations, territories, and incomes for the year 1913. Currency units are international dollars at 1990 prices.

A TECHNOLOGICAL CONFLICT

- The war led to a substantial **reallocation of resources** from the production of civilian goods to **military use**.
- **Labour force, capital, and raw materials** were primarily directed toward meeting the **demand for war** and were predominantly absorbed by **metallurgical, shipbuilding, chemical, mechanical, and armament industries**, etc.



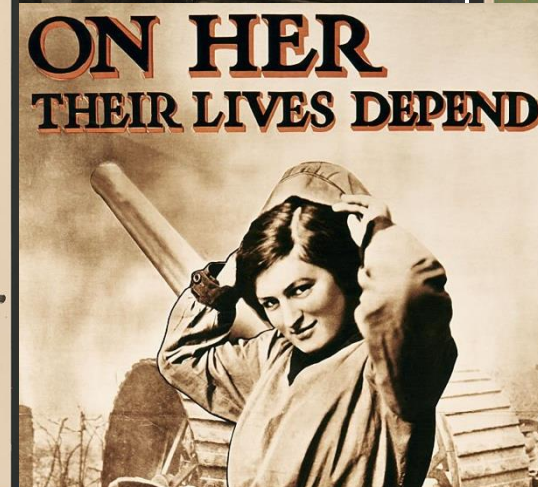
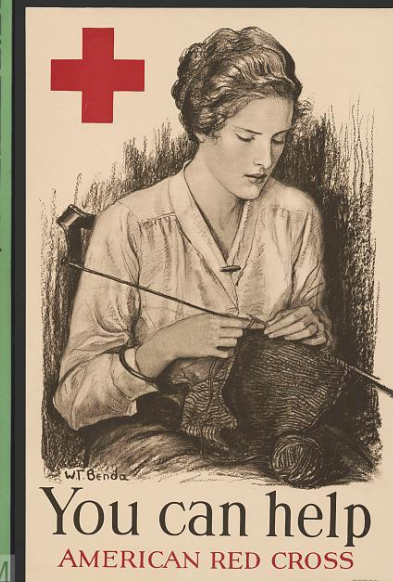


WWI: ECONOMIC MOBILISATION

- Industrial conversion

- Women at work

- Red cross
- Drivers
- Munitions
- Agriculture



WWI: STATE INTERVENTION

- In the countries involved in the conflict, the pressures resulting from the war pushed governments to act in ways previously unthinkable, both
 - to supply the armies
 - to deal with the problems of civilian populations.
- The main areas of intervention were:
 - supply of raw materials
 - food rationing
 - industrial production
 - the government of finance

WWI: STATE INTERVENTION

- In order to cope with the huge war requirements, governments set up **departments and offices** responsible above all for industrial mobilisation and the expansion of war production.
- In the German case, for instance, the Hindenburg Plan created the *Kriegsamt* (Supreme War Office) with the following objectives:
 - doubling the industrial production
 - total mobilisation of workers (even prisoners of war)
 - complete eradication of industrial inefficiencies

WWI: STATE INTERVENTION

- The **government's role in the economy** grew considerably:
 - It became the **main purchaser of goods and services**
 - It imposed controls on many areas: **trade, transport, prices, production, supplies** of raw materials and food, etc.
- This showed – both in Europe (everywhere, even in liberal England) and in America - that the state could assume extensive responsibilities in the **co-ordination of economic activities**.
- At the end of the war many controls were removed, but the liberal principle of the *laissez-faire* had been profoundly shaken.

WWI: STATE INTERVENTION

The state financed public spending through

- increased taxation → resulting in a depression of household consumption
- domestic and foreign borrowing,
- an increase in the money supply -> the printing of banknotes.

The total **public debt** of the countries involved in the conflict rose from 26 billion dollars before the war to 225 billion dollars in 1920.

The contribution of different sources of financing varied from country to country and so did the levels of **inflation**, determined by the increase in circulating money:

- this represented a heavy legacy to manage at the end of the conflict.

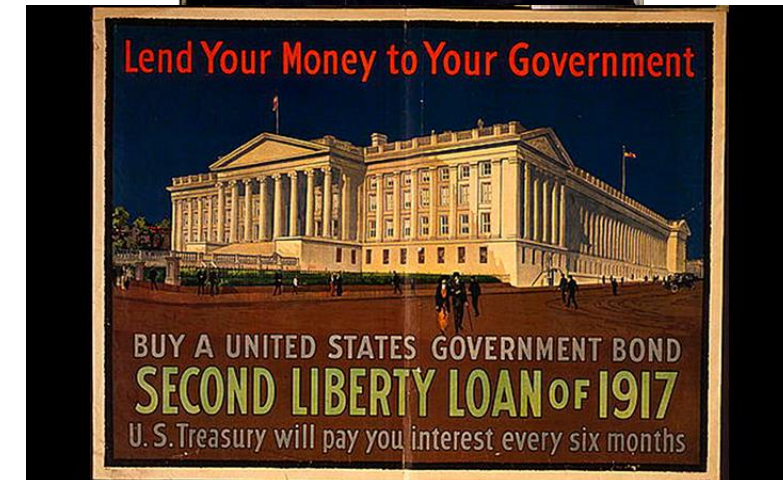
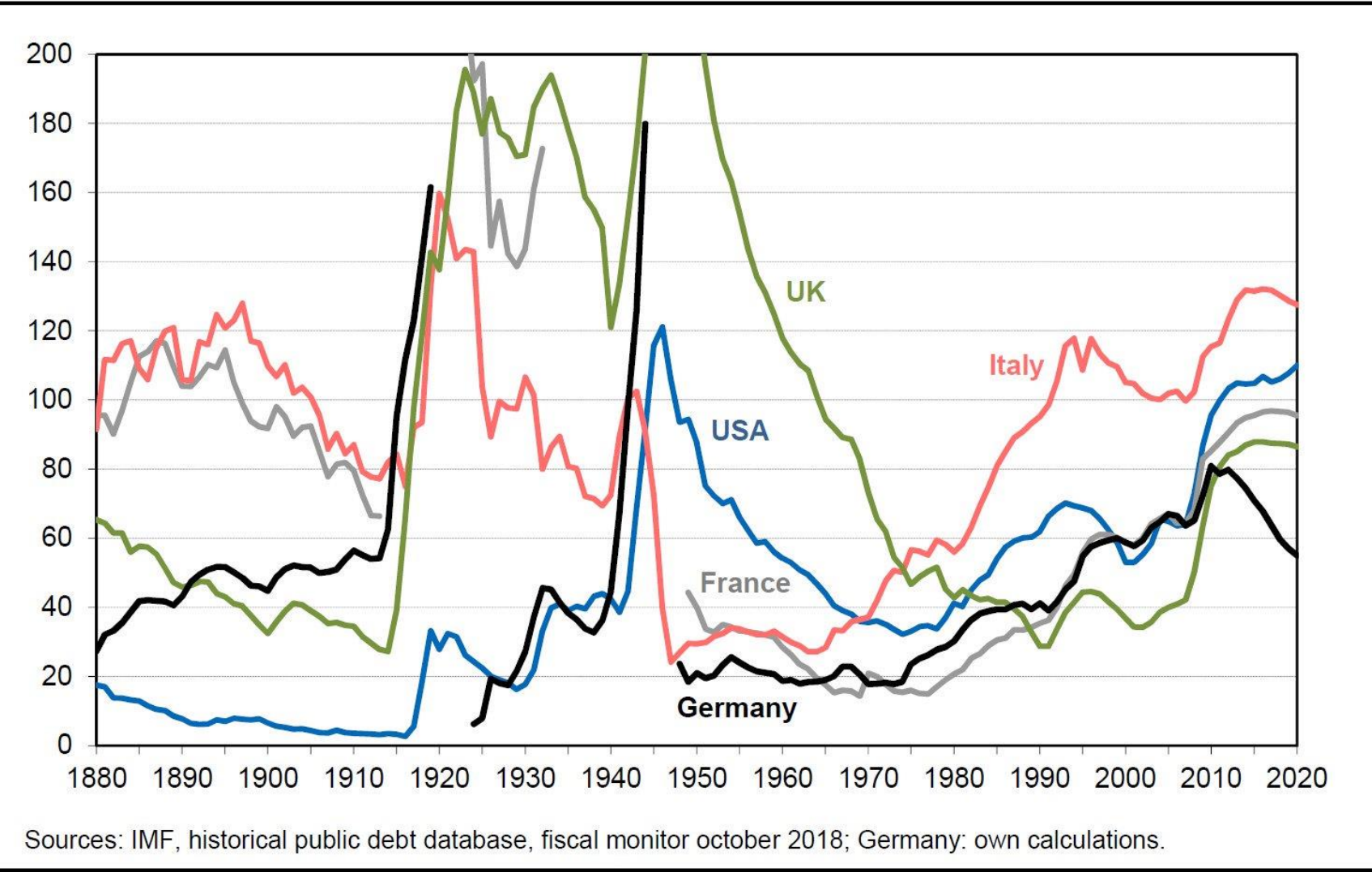


Table 1.5. *The share of government spending in national income: 1913–1918, by country (percentage of GDP at current prices)*

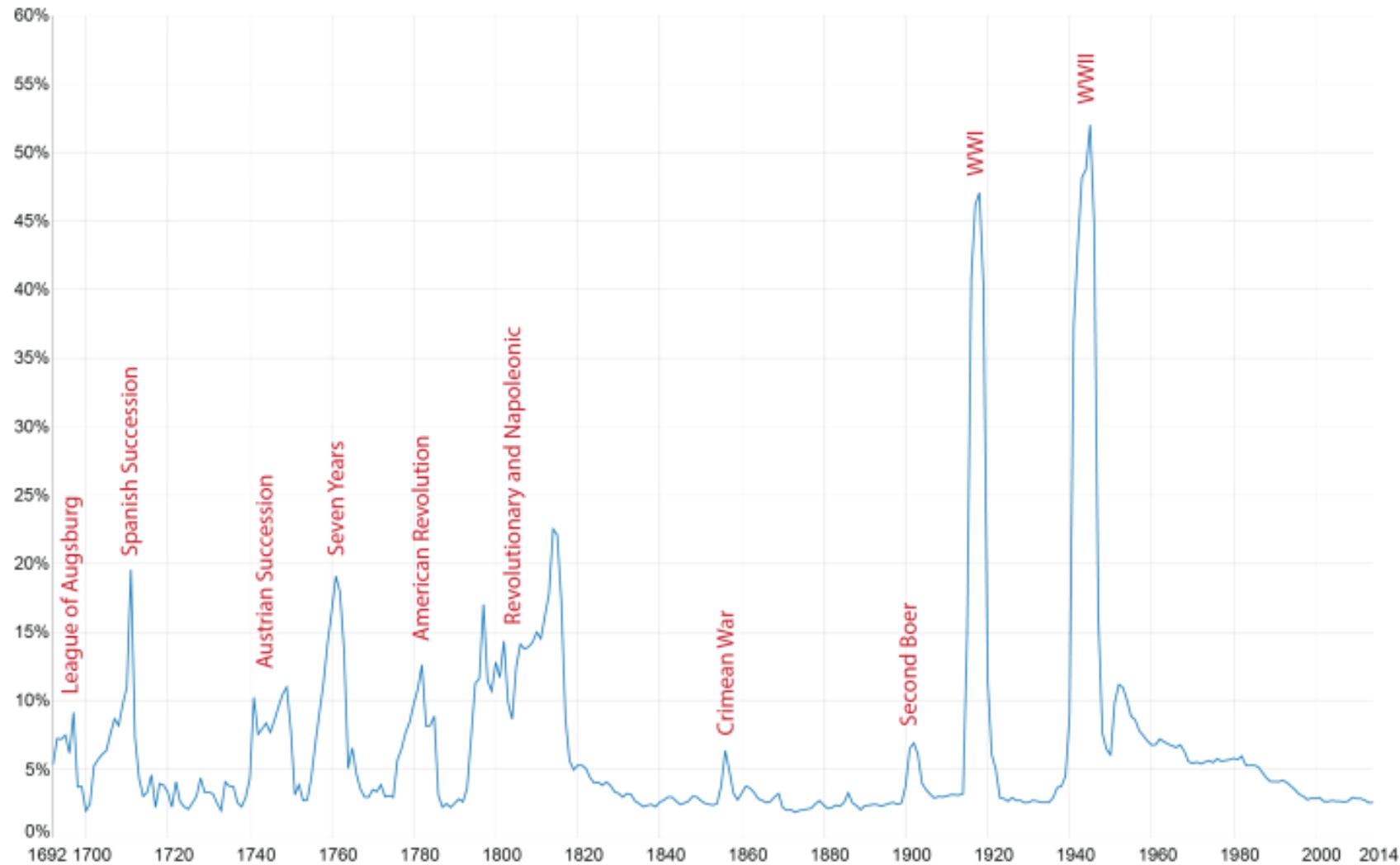
	Australia	Canada	France	Germany	UK	USA
1913	5.5	7.0	10.0	9.8	8.1	1.8
1914	5.7	10.0	22.3	23.9	12.7	1.9
1915	9.6	13.1	46.4	43.8	33.3	1.9
1916	14.0	16.5	47.2	50.3	37.1	1.5
1917	17.2	15.7	49.9	59.0	37.1	3.2
1918	17.2	16.9	53.5	50.1	35.1	16.6

Sources: Obstfeld and Taylor (2003); Mitchell (2003a, 2003b); UK from Feinstein (1972: tables 2 and 3); Germany from Sommariva and Tullio (1987); and France from table 3.8. Thanks to Jari Eloranta for help with these figures.

General government gross debt in Germany, France, Italy, USA, and UK, 1880-2020
as percent of gross domestic product (GDP)



UK defence spending as a percentage of GDP, 1692-2014



Data obtained from: UK Public Spending (ukpublicspending.co.uk)

The interactive data visualization is available at OurWorldinData.org. There you find the raw data and more visualizations on this topic.

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WWI: ECONOMIC CONSEQUENCES

- The economic losses were considerable and included:
 - Material destruction
 - Disruption of economic relations
 - Disruption of foreign trade
 - Loss of foreign markets
 - Loss of profits from foreign investments
 - New global agricultural balances
 - Loss of lives

WWI: ECONOMIC CONSEQUENCES

In terms of material destruction, the situation at the end of the conflict was dramatic:

- the total cost of the war, between estimated losses and actual expenditure amounted to some 400 billion dollars (1914 purchasing power).
- Buildings, plants, industrial machinery, mines, agricultural machinery, livestock, transport and communication infrastructure were destroyed.

In the long run, even more harmful to the economy was the disruption and disorganisation of normal economic relations between states: the negative effects did not cease at the end of the conflict but continued into the 1920s and 1930s.



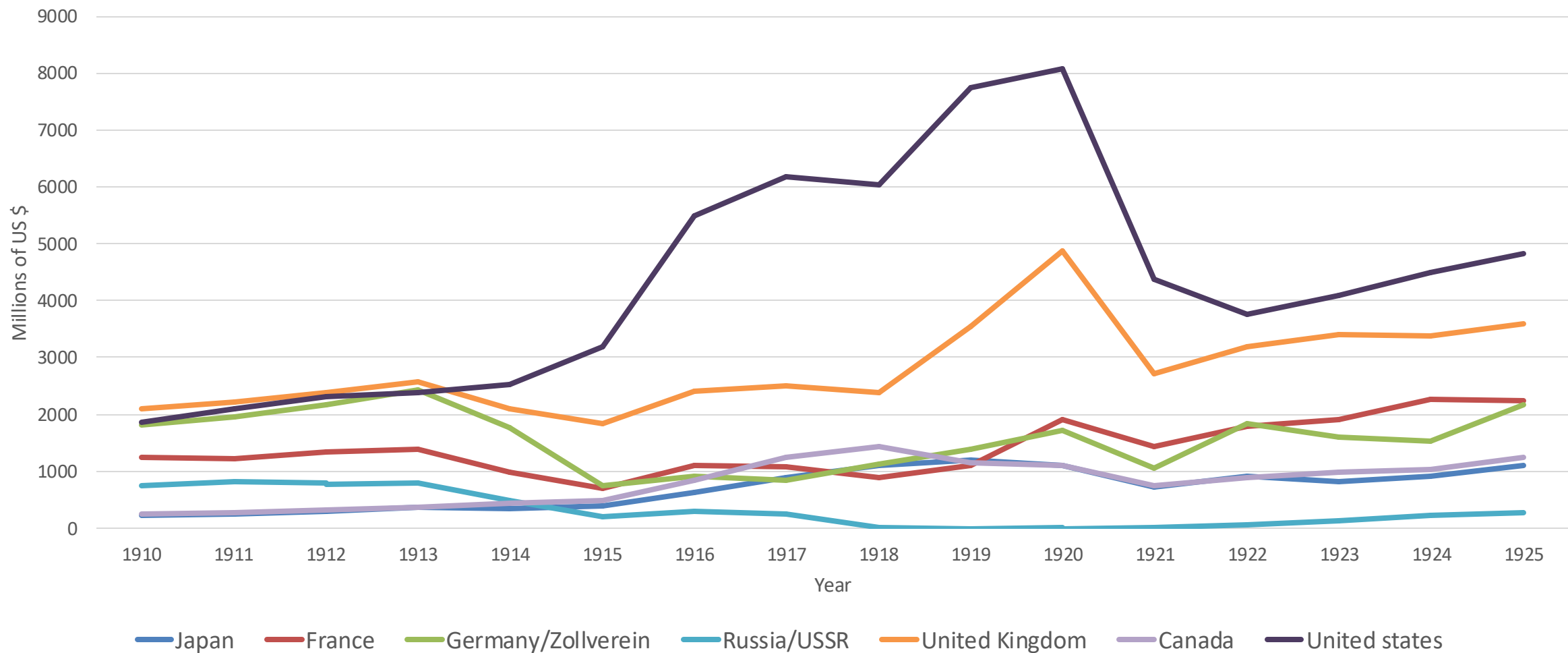
WWI: ECONOMIC CONSEQUENCES

- During the war, the governments of the belligerent states (and even the neutral ones) imposed **direct controls on prices, production, and the distribution of the workforce**.
 - These controls artificially stimulated certain sectors while depressing others.
 - Although these controls were later lifted at the end of the conflict, pre-war relations did not quickly or easily return to normal.
- Disruption of **foreign trade** and various forms of economic warfare
 - Germany and Britain, involving submarine warfare. In 1917, this led the United States to intervene in the conflict

WWI: ECONOMIC CONSEQUENCES

- Another problem was the **loss of foreign markets**.
 - With Europe blockaded, many overseas countries decided to either produce goods on their own or purchase them from non-European countries, which they had previously imported from Europe.
 - Latin American and Asian countries established manufacturing industries.
 - America and Japan captured new markets that were previously controlled by Europeans
- In **the agricultural sector**, the war stimulated production in economically established countries like the United States and in "virgin" territories like Latin America.
 - In the 1920s, the result was overproduction and a collapse of prices.
- In the **maritime transport sector**, England lost its primacy to the United States (which benefited from their neutrality).

Exports of selected countries, 1910-1925
Current prices, 1913 borders (Millions US \$)



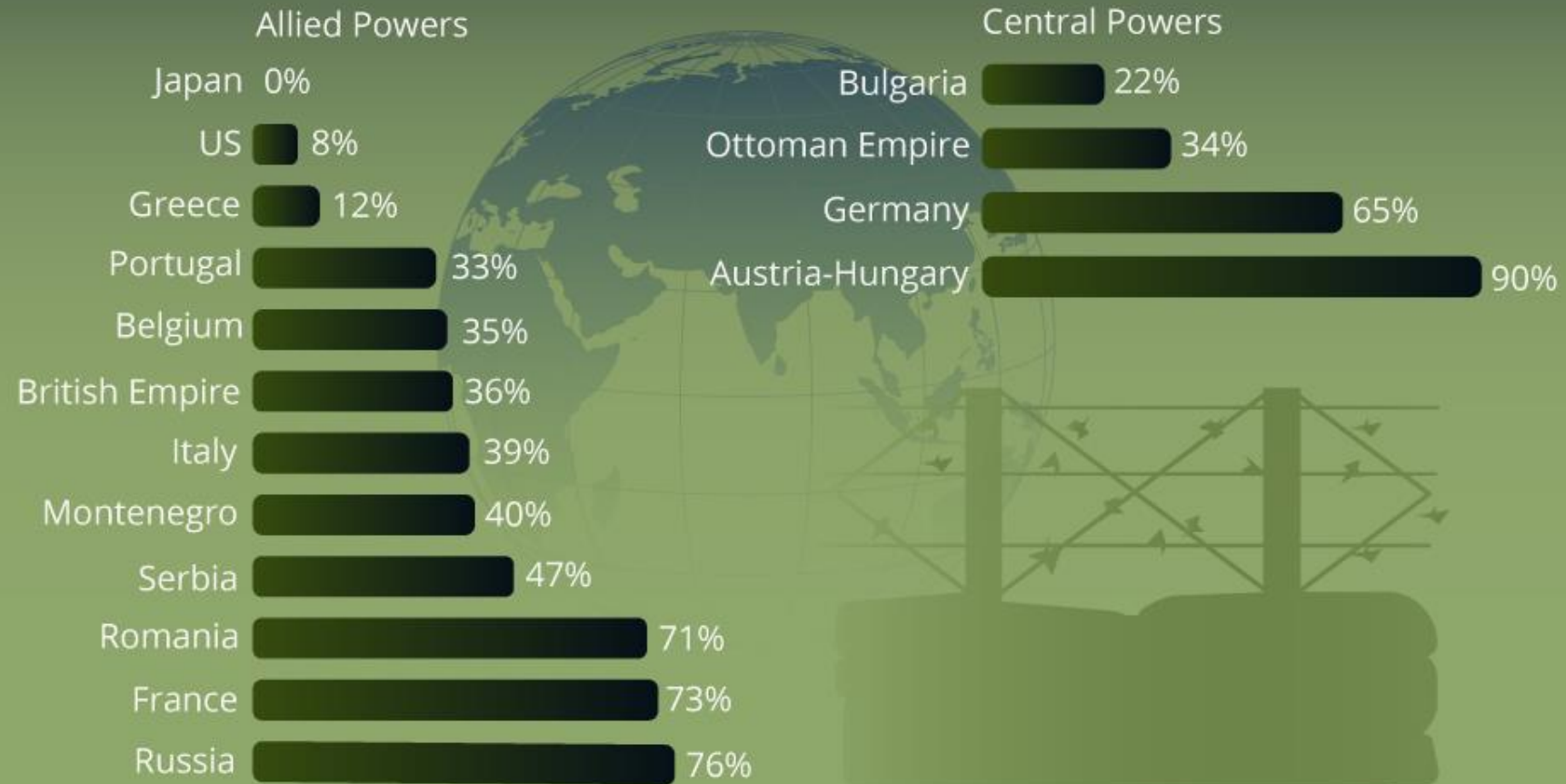
Source: Federico, Giovanni; Tena Junguito, Antonio, 2018, «Federico-Tena World Trade Historical Database»

WWI: ECONOMIC CONSEQUENCES

- On the front of foreign investments, Britain and France had to divest a portion of their investments to finance the purchase of war materials.
 - German investments were confiscated and later used as reparations.
- Finally, the most serious consequence of the conflict, **the loss of lives**
 - The dead soldiers numbered approximately 10 million, and other 20 million were maimed and disabled.
 - To these were added 6 million civilian casualties and a birth deficit estimated at 13 million.
- The losses due to the war, combined with those induced by the **Spanish flu** epidemic in the winter of 1918-1919 produced serious consequences in terms of labour supply.

How Deadly Was World War I?

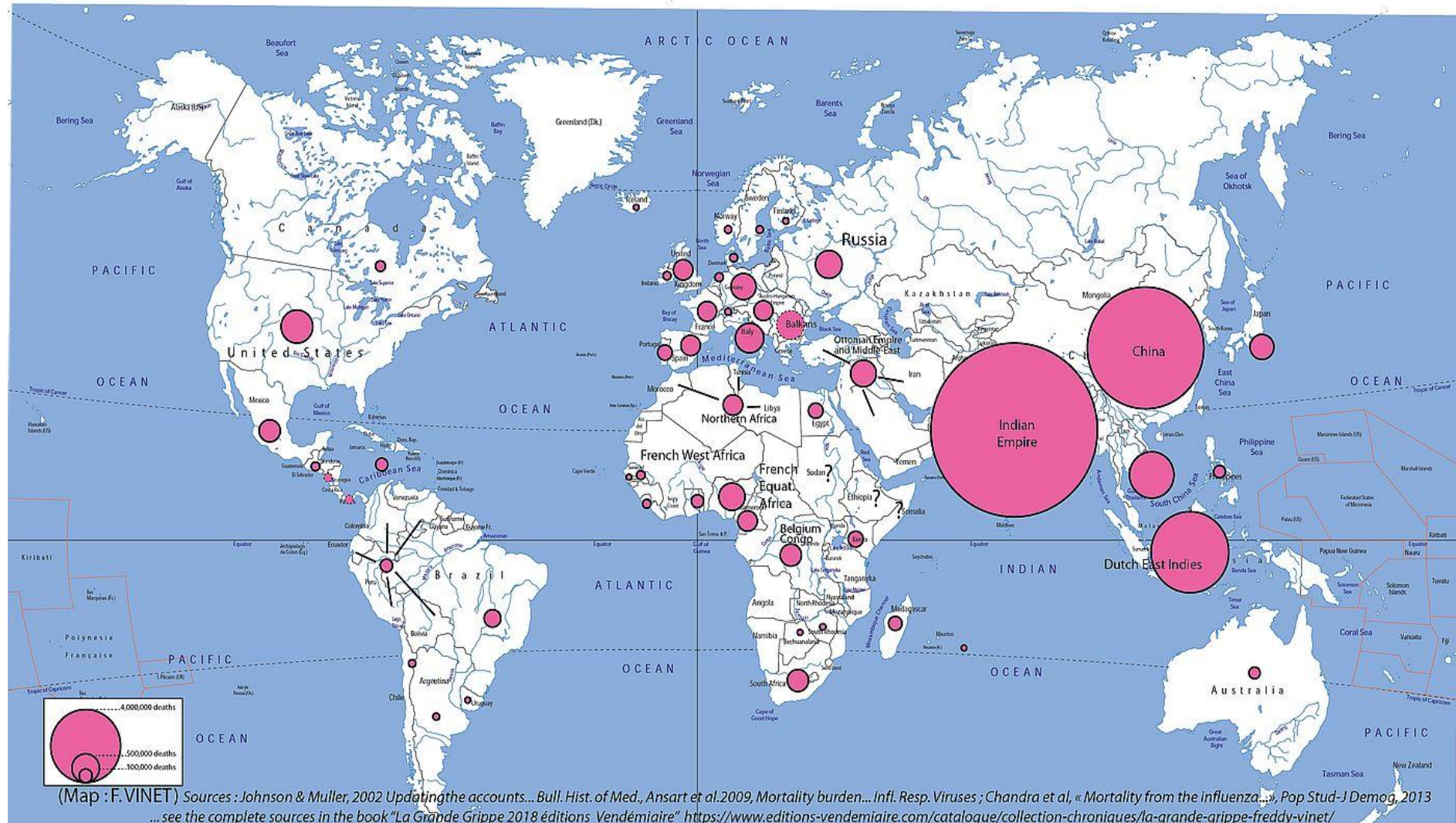
Percentage of mobilized WWI forces that became casualties, by country*



WORLD PANDEMIC

- The 'Spanish' flu
 - Influenza pandemic caused by the H1N1 A virus
 - Up to 500 million infected worldwide in four waves (1918-1920)
 - Total mortality between 30 and 100 million
- Global pandemic
 - In Europe known as the 'Spanish' flue
 - In West Africa known as the 'Brazilian' flue, in Brazil as the 'German' flu
 - In Spain, often referred to as the 'Naples soldier'
- Role of the war
 - Contagion spread by Allied armies and naval forces
 - Wartime censorship limited information and effective response
 - But mass mobilization increased state capacity

The death toll of the Spanish Flu 1918-1919



WWI: INDUSTRIAL RECONVERSION

- After the war, there was the urgent need to **reconvert industrial production towards civil production**. There was a widespread fear that leaving the growing demand for civil goods unsatisfied would cause inflation.
- However, this process was not easy:
 - the return of the soldiers from the front push up **unemployment rates**
 - waves of **strikes** occurred everywhere in Europe and in the United States due to discontent over **difficult living conditions**



WWI: THE CONSEQUENCES OF PEACE

- The American intervention changed the fate of the war: in November 1918 Austria-Hungary and Germany signed the armistice.
- The Treaty of Versailles in 1919 officially ended the conflict after a laborious peace process. A number of punitive impositions and debts were imposed on Germany.
- Two major problems emerged from the peace treaty:
 - growth of economic nationalism
 - monetary and financial instability

